

Chapter Introduction

Chapter 1



Chapter 2

ANALYZING TRANSACTIONS

Chapter 3

THE ADJUSTING PROCESS

Chapter 4

THE ACCOUNTING CYCLE





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Twitter, Inc

When two teams pair up for a game of football, there is often a lot of noise. The band plays, the fans cheer, and fireworks light up the scoreboard. Obviously, the fans are committed and care about the outcome of the game. Just like fans at a football game, the owners of a business want their business to “win” against their competitors in the marketplace. While having your football team win can be a source of pride, winning in the marketplace goes beyond pride and has many tangible benefits. Companies that are winners are better able to serve customers, provide good jobs for employees, and make money for their owners.

Twitter, Inc. (TWTR) is one of the most visible companies on the Internet. It provides a real-time information network where members can post messages, called tweets, for free. Millions post tweets every day throughout the world.

Do you think Twitter is a successful company? Does it make money? How would you know? Accounting helps to answer these questions.

This textbook introduces you to accounting, the language of business. Chapter 1 begins by discussing what a business is, how it operates, and the role that accounting plays.

What’s Covered

Introduction to Accounting and Business

**Nature of
Business**

**Nature of
Accounting**

**Analyzing
Business**

**Financial
Statements**

• Types of Business (Obj. 1) • Role of Accounting (Obj. 1) • Ethics (Obj. 1)	• Managerial and Financial Accounting (Obj. 1) • Career Opportunities (Obj. 1)	Transactions • Generally Accepted Accounting Principles (Obj. 2) • Accounting Equation (Obj. 3) • Transactions (Obj. 4)	• Income Statement (Obj. 5) • Statement of Stockholders' Equity (Obj. 5) • Balance Sheet (Obj. 5) • Statement of Cash Flows (Obj. 5)
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Learning Objectives

- Obj. 1 Describe the nature of business and the role of accounting and ethics in business.
- Obj. 2 Describe generally accepted accounting principles, including the underlying assumptions and principles.
- Obj. 3 State the accounting equation and define each element of the equation.
- Obj. 4 Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.
- Obj. 5 Describe the financial statements of a corporation and explain how they interrelate.

Analysis for Decision Making

- Obj. 6 Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

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